

Closing the gap Price forms a gap but succeeding price movement spans the gap to cover it.

Confirmation point, price, or level A price or location that validates a chart pattern. Also known as the breakout point, price, or level.

Consolidation A sideways move or a region in which price switches from trending to moving sideways.

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Continuation When price breaks out in the same direction as it entered a chart pattern. For example, if the prevailing price trend is upward into a chart pattern and exits out the top, the pattern acts as a continuation of the uptrend. Contrast with *reversal*.

Corrective phase Part of a measured move up or down, a region where price retraces a portion of the prior move.

Countertrend When price moves against the prevailing market trend. Downward breakouts in bull markets or upward breakouts in bear markets are countertrends.

Countertrend pattern A pattern with an upward breakout in bear markets or a downward breakout in bull markets; that is, the breakout direction is against the prevailing market trend.

Days to ultimate high or low The average time from the breakout date to the date of the ultimate high or low, measured in calendar days.

Double bust Price busts a chart pattern twice. See *Busted pattern* and [Figure G1](#).

Dual bumps In a bump-and-run reversal, price bumps up (or down) and then returns to the trendline two or more times.

End (as in “pattern end”) Usually the highest high or lowest low in a chart pattern. For example, the start and end of a double bottom is the lowest low in each valley.

Failure rate A count of how many patterns fail to see price rise or decline a selected amount (like 5%, 10% and so on).